IN THE SUPREME COURT OF BRITISH COLUMBIA

Citation: ***Home Equity Development Inc. et al v. Crow et al,*** 2004 BCSC 124

Date: 20040203
Docket: 01/4472
Registry: Victoria

Between:

Home Equity Development Inc., Silver Spray Investments Inc. and Michael Thornton

Plaintiffs

And:

Allan J. Crow, Lani Thompson, Horst Kohne, Barbara Kohne, Charlotte Funston, Mike Pettit, Fred Graham, Gloria Graham, Shannon Asdahl, A.E. (Ted) Bowers, Charlyn Bowers, Jim Bowman, Betty Fay Mortin, Pam A. Engwer and Saul Arbess

Defendants

Before: The Honourable Madam Justice Quijano

Reasons for Judgment

Counsel for the Plaintiffs:	R.D. McConchie and A.K. Foord
Counsel for the Defendants: Barbara Kohn, Fred Graham and Gloria Graham	D.A. Farquhar, Q.C. and M.K. Scherr
Allan J. Crow, Lani Thompson, Mike Pettit and Charlotte Funston	Appearing in Person
Counsel for the Defendant: Jim Bowman	R. Helme
Date and Place of Trial/Hearing:	20030120-20030124; 20030203-20030207; 20030210-20030214; 20030217-20030221; 20030224-20030228; 20030303-20030307; 20030310-20030314; 20030324-20030328; 20030331-20030404; and 20030407-20030410 Victoria, B.C.

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INTRODUCTION

[1] In the summer of 1996 Michael Thornton, a real estate developer, was introduced to a beautiful piece of waterfront acreage in East Sooke, British Columbia, now called the Silver Spray Lands. Mr. Thornton saw in that property the potential for what he considered to be an environmentally sensitive and ecologically conscious multi-use development. By April 1997 Mr. Thornton and his company Home Equity Development Inc. had acquired the rights to purchase the property.

[2] Some of the residents of East Sooke did not see his plans in the same light and mounted a vigorous opposition to the proposed development.

[3] Polarization began almost immediately with the attendant loss of the ability to communicate constructively. Over the course of the next 14 months the public debate became increasingly strident and polarized. The conflict escalated. It was during this period that the four publications of which the plaintiffs now complain were published.

[4] Only the defendants Crow, Thompson, Pettit, Funston, Fred Graham, Gloria Graham and Barbara Kohne remain in the action. All of these defendants are residents of East Sooke. Allan Crow and Lani Thompson live together in a home very near the

Silver Spray Lands. Charlotte Funston and Michael Pettit live together in a home some distance from the Silver Spray Lands. Fred and Gloria Graham also live some distance from the Silver Spray Lands as does Barbara Kohne.

[5] The defendant Crow is sued in relation to a letter he published in early May 1997. The defendant Thompson is sued in relation to two letters. The first letter she published in August 1997 and the second in July 1998. All of the defendants are sued in relation to a newsletter published in June 1998.

ISSUES

[6] 1. Is the language complained of defamatory in any or all of the publications complained of?

2. Is a defence of fair comment available in respect of any or all of the publications complained of?

3. Is the defence of qualified privilege available in respect of any or all of the publications complained of?

4. Is malice involved?

5. Under what circumstances does an individual who is an active member of an organization become liable

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for the publication of defamatory material by that organization?

6. Damages: general, aggravated and punitive.

NARRATIVE AND FINDINGS OF FACT

[7] Michael Thornton is the president and controlling shareholder of Home Equity Developments Inc. Home Equity had been in the business of raising capital from individual investors to purchase and develop both residential and commercial properties in the Lower Mainland area of British Columbia since the late 1980's.

[8] In the late summer or the fall of 1996 Michael Thornton was introduced to a large property in East Sooke, which is known as the Silver Spray property. He saw it as having development potential. That property is also known as the Silver Spray Lands and was comprised of four separate parcels, one of which was in the Agricultural Land Reserve ("ALR"). The total acreage of the four parcels is 274 acres, and it has approximately three kilometres of waterfront. The property is immediately adjacent to the western boundary of East Sooke Regional Park. Most of the property had been logged many years ago, but since then it had remained undeveloped, second growth wilderness.

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[9] In 1996 and 1997 the Local Area Plan provided that the three parcels which were not in the ALR could be used for a variety of purposes including such things as pig farming, clear cut logging and mining.

[10] In 1996 Mr. Thornton negotiated rights to purchase the four parcels on behalf of Home Equity Development Inc. He made inquiries at the Capital Regional District ("CRD") office in Sooke with respect to his tentative plans and with respect to his desire to apply to have the farm parcel removed from the ALR. During this time he had one or two discussions with the then regional director for the area, Mr. Robert Clark.

[11] At some point during this period Mr. Thornton caused a subsidiary company to be formed for the purpose of raising capital to proceed with the development of the Silver Spray Lands. That company is the third plaintiff, Silver Spray Investments Inc.

[12] On November 16, 1996, there was an election for regional director and Mr. Clark was defeated by Ms. Diane Bernard. Mr. Clark took no further steps as director after his defeat on November 16, 1996, and he officially left office December 4, 1996.

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[13] Although there is some uncertainty as to the exact date that Mr. Thornton's application for exclusion of the farm property from the ALR was submitted to the CRD office in Sooke, it is clear that it could not have been submitted before the election because the authorization from the owners of the farm property enabling Mr. Thornton to bring the application for exclusion from the Agricultural Land Reserve on their behalf was signed in Los Angeles, California, on November 15, 1996. I am satisfied that the application was not dealt with in any way until after Ms. Bernard assumed the position of regional director.

[14] On April 23, 1997, Mr. Thornton made his first public appearance in East Sooke related to his plans for the Silver Spray property. This was at the first meeting of the newly appointed Advisory Planning Commission ("APC") for East Sooke at which the main business was Mr. Thornton's application for exclusion of the farm property from the ALR. It was at that meeting that the residents of East Sooke first heard from Mr. Thornton as to his vision for the development of the Silver Spray Lands.

[15] Shortly after that meeting Mr. Thornton sent out a newsletter to all of the residents of East Sooke setting out in some detail what he hoped to develop on the Silver Spray

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property. His plans included an eco-lodge, a marina, a nine-hole golf course, public access hiking trails and a number of homes.

[16] East Sooke is a relatively remote unincorporated rural area. It has about 500 residents spread out over a large area. When the residents learned of the nature of Mr. Thornton's plans for developing the property, some of them saw the proposal as representing the end of their rural way of life and began to mount an opposition to it.

[17] Prior to this dispute all of the defendants had apparently been quiet and anonymous residents of East Sooke. None of them had been political activists. They were to a greater or lesser degree naïve in the ways of politics. I have no doubt that they truly believed that it was their responsibility to do whatever they could to prevent what they saw as the desecration of a beautiful wilderness area and the end of the rural lifestyle that they cherished.

[18] When Mr. Crow read Mr. Thornton's newsletter he became concerned about the plans to develop the Silver Spray property, but not alarmed, because there was no suggestion in the letter that work had begun. Mr. Crow wrote a letter on May 3, 1997, to all of the residents of East Sooke setting out his concerns about the proposal. In response to this letter

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he received, from another resident, some Home Equity promotional brochures which related to other developments that the company was or had been involved in. After reading these materials Mr. Crow became alarmed because he then saw Mr. Thornton as a businessman interested in profit rather than as an individual who would be concerned to preserve the rural ambience of East Sooke.

[19] Coincidentally, at just about this time Mr. Crow and Ms. Thompson began to hear logging trucks leaving the Silver Spray property and passing by their home early each morning. From May 6, 1997, to May 9, 1997, Mr. Crow walked to the Silver Spray property and saw that clearing had taken place on Section 83, the section nearest to his home. He walked further into the property and observed what appeared to be the beginnings of a new road being built. Although Mr. Crow said he saw logging taking place, he only described actually seeing one tree felled. He did not see road building.

[20] None of the other witnesses, including those called by the defendants, said they saw logging actually taking place. What they saw was, at best, burn piles and trees lying on the ground. There is no dispute that logging had taken place. What is in dispute is whether trees were still being felled.

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[21] Mr. Ramsay Milne, the contractor hired by Mr. Thornton to log and clear home sites on the property from February to May 1997, said that the logging on the property for that year had been completed by the end of April and that after that they were hauling the logs off the property and cleaning up. He also testified that there were only two logging trucks in use, and that each truck only took two or three loads per day, depending on where the logs were being taken. I find this evidence consistent with what Mr. Thornton said was taking place on the property at that time and with the other evidence as to what was actually seen, and inconsistent with Mr. Crow's assertion that logging was still taking place. I accept Mr. Milne's evidence in this regard.

[22] As a result of hearing the logging trucks and observing the changes that had taken place on Section 83 Mr. Crow wrote a letter dated May 8, 1997, but probably mailed May 9, 1997, to all of the residents of East Sooke who received bulk mail. In that letter he said the following:

> We would like to make you aware of an urgent environmental crisis now taking place on the Silver Spray ranch lands, ever since the wrecking crew from Vancouver arrived and began ripping the heart out of East Sooke Park.

And further into the letter:

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> Intensive logging and road building are now in full swing ... Dozens and dozens, and dozens of loads are being hauled out, most in the wee hours of the morning so as not to attract attention. They are working fast, behind closed gates, with no scrutiny.

In cross-examination Mr. Crow admitted that, although there was a gate that could be closed, it was not closed. He also admitted that the first logging trucks were leaving the property shortly after dawn and that often he was not home during the day so he could not say if logging trucks were leaving later as well or how many trucks were leaving per day.

[23] On June 18, 1997, Mr. Thornton's lawyer wrote to Mr. Crow and Ms. Thompson advising them that many of the statements in the letter were false and demanding an apology. On June 24, 1997, Mr. Crow and Ms. Thompson wrote back saying they would "make a sincere effort to apologize to your client and the community of East Sooke for any emotional distress I may have caused. I will refrain as will Ms. Lani Thompson from making any exaggerated or untrue statements publically [sic] in the future." They did not apologize and both Mr. Crow and Ms. Thompson acknowledged in their testimony at trial that they had had no intention of apologizing and said that that was why they used the word "may".

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[24] Mr. Crow’s letter provoked a number of East Sooke residents to become concerned about what the development would mean to the ambience of East Sooke and in the summer of 1997 the idea of an organized opposition began to take shape. In September 1997 the East Sooke Rural Association ("RAES") came into being. Although the purposes of the organization were framed broadly in terms of concern for the ecology and environment of East Sooke, there is no doubt that the group was formed for the principal purpose of opposing Mr. Thornton’s plans for development of the Silver Spray property. The group's primary goal was to defeat Mr. Thornton’s ALR exclusion application for the farm property.

[25] The group held their first general meeting in the fall of 1997. At the meeting, Mr. Thornton attempted to join the organization but his application was refused and his cheque for membership fees was returned.

[26] At the general meeting a number of persons volunteered to act as directors and some as officers for the purpose of forming a registered society. In November 1997 the necessary documents were filed and the certificate of incorporation was issued.

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[27] The first president was Derrick Mallard. Mr. Crow was the vice-president and Charlotte Funston was the secretary. Ms. Thompson was the first treasurer, but by the end of 1997 Fred Graham had taken over that position. By April of 1998 directors, in addition to the officers, included Fred and Gloria Graham and Barbara Kohne.

[28] Meanwhile, in July 1997, Mr. Crow was quoted in the local paper, the Sooke News Mirror, as saying that “the government has been inundated with hundreds, even thousands, of letters from opponents” of the development. Mr. Thornton’s lawyer wrote again to Mr. Crow on July 21, 1997, demanding that Crow either provide proof for the statement or retract it, failing which Thornton would proceed with legal action without further notice.

[29] On July 22, 1997, Mr. Crow transferred to his mother his *prima facie* one-half interest in the property in East Sooke where he lives with Ms. Thompson. The land title transfer form was filled out and signed by Mr. Crow and he went to the Land Title Office with his mother to complete the transfer. In spite of admitting that he had signed the document and had gone to the Land Title Office to effect the registration, he steadfastly refused to agree that he had actually transferred his one-half interest to his mother. Mr. Crow maintained that

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his mother was the true owner of the property and he was only on title to take advantage of the home owners' grant.

[30] I am satisfied that Mr. Crow did transfer title to his mother on the date shown on the land title document and that he did so to eliminate any risk of the property being available to satisfy any award that might be made against him should Mr. Thornton proceed, as his lawyer had said he would, without further notice.

[31] On August 13, 1997, Lani Thompson sent a letter to the editor of the Sooke News Mirror in response to a letter from Mr. Thornton that was published by the paper on August 6, 1997. In his letter Mr. Thornton had made claims that his development was actually improving the property by, amongst other things, stabilizing the soil and by providing access to the waterfront areas. Ms. Thompson did not agree with Mr. Thornton’s characterizations or his suggestions that the work being done was improving the property.

[32] In her letter Ms. Thompson made the following observations of the impact of the work that had been done:

> “Then we have the introduction of five species of invasive grass adjacent to our wilderness park along with a high dose of nitrate fertilizer.
>
> ...

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> He thinks he's being sensitive to the environment since he didn't clearcut [sic] the property. However, he has annihilated almost the entire foreshore botanical ecosystem, including over 100 rare flowering plants, 60 rare plant communities, nearly 100 native food plants, rendering useless to the mammals, reptiles, amphibians and birds which used this for roosting and foraging habitat.
>
> ... this place ... has existed intact as an undisturbed tract of wilderness for generations."

[33] Ms. Thompson said the description was the result of a trip she had taken by boat with another resident, Howard Elder, along the shoreline of the Silver Spray property to a beach near Possession Point where they had landed and then had walked through that portion of the property. She said the property had been cleared as in Section 83 and that there were stumps remaining in many areas. Mr. Elder also testified in his evidence in chief as to this boat trip. He said it had taken place in July 1997. However, when cross-examined on a document in his handwriting which indicated that he had first walked Section 83 in June 1997 and next walked on the property in September 1997, he could not explain the significant discrepancy. I am compelled to conclude that his evidence was completely unreliable as to whether there was such a trip in July 1997. It is also significant that Ms. Thompson and Mr. Crow had taken many pictures of the property in 1997 and

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had a video camera and that she took neither notes nor pictures during this trip.

[34] Taking into account that there are photos of the property taken from the water in July 1997 by Mr. Thornton which show that there remain trees, grass and some vegetation along the shoreline where building sites have been cleared near the waterfront as well as the evidence of Mr. Milne that no vegetation or trees were removed from Possession Point itself, I have concluded that the trip Ms. Thompson describes did not take place.

[35] From all of the evidence it is clear that although Ms. Thompson knew that portions of the property where clearing had taken place had been hydro-seeded, she had no information as to what grasses or other plants were seeded nor did she know what fertilizer was used. Mr. Sahlstrom, the project manager for Terra-Sol, the company that did the hydro-seeding, testified that the hydro-seeding used five non-competitive grasses, and some wildflowers and that the fertilizer used did not include a nitrate component. He also said that invasive grasses are weeds and there were no weeds in their mix.

[36] The evidence from Ms. Thompson in support of her claims as to the destruction of plants makes it clear that, at best, she was guessing at what might have been lost based on things

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she believed she remembered having seen in walks throughout the entire Greater Sooke area, refreshing her memory by looking through books she had on plants and by, apparently, having regard to an historical list of rare plants sighted in the whole of the greater Sooke area over the last fifty or more years. She had received this list from the provincial government in response to a request she made sometime between seeing the effect of the clearing on Section 83 and writing the August 13, 1997, letter. It is apparent that Ms. Thompson neither knew nor cared if what she was saying was accurate regarding the number and rarity of the plants that had been destroyed by the clearing that had taken place to that point in time.

[37] Ms. Thompson's general description "he has annihilated almost the entire foreshore botanical ecosystem" was based on what she says she observed on Section 83 prior to writing the letter. From the photos of the area and the evidence of Mr. Milne it is apparent that although the property had been logged and cleared there were still some trees and local vegetation left along the foreshore. I find that Ms. Thompson's allegation that the entire foreshore botanical ecosystem had been annihilated was a gross exaggeration of the extent of the clearing that had taken place.

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[38] Mr. Thornton chose not to respond to this letter because, he said, he did not want to end up in court. He said that once he was involved in litigation he would have to disclose that fact to potential investors and the financial planners with whom he worked in raising capital for his ventures and that would compromise his ability to raise capital.

[39] The rhetoric became more inflammatory in subsequent letters to the editor of the Sooke News Mirror, from both Mr. Thornton and the defendants, and in quotes from Mr. Crow and from Mr. Thornton in articles in the Sooke News Mirror as well as in The Times Colonist newspaper and Monday Magazine and in flyers sent out by the plaintiff to the residents of East Sooke from time to time.

[40] At some point in the winter of 1997-1998 RAES decided to ask the provincial government to conduct an environmental assessment of the Silver Spray Lands under s. 4 of the ***Environmental Assessment Act***, R.S.B.C. 1986, c. 119. This was a strategy that had been used successfully by Derek Mallard when he was involved in opposing the plans for a proposed development at Bamberton. The Minister of the Environment refused the request and notified RAES of that fact by a letter received March 31, 1998.

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[41] On June 29, 1998, there was to be an East Sooke Advisory Planning Committee meeting to consider Mr. Thornton's rezoning application for the Silver Spray Lands. In anticipation of this hearing the directors of RAES met in May 1998 and decided to continue their opposition to the development of the Silver Spray Lands by putting out a series of four newsletters leading up to the meeting. As it turned out only three newsletters were actually published. The newsletters were sent to every resident of East Sooke who received bulk mail.

[42] Although there is some disagreement in the evidence of the defendants on this point, I am satisfied that at that meeting six people volunteered to take responsibility for these publications. Some of the defendants referred to this group as the editorial board while others denied there was any formal group. Regardless, I am satisfied that the six volunteers did agree at that formative meeting to work together in one way or another on the four newsletters. Those six were: Mr. Crow, Mr. Pettit, Ms. Thompson, Ms. Funston, Ms. Kohne and Ms. Asdahl. Shortly after the meeting Ms. Asdahl withdrew from participation due to illness.

[43] One of these newsletters was written by Mr. Crow and Mr. Pettit. It has come to be known as the "Hardball Newsletter" because of its title "Playing Hardball" and the

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baseball theme. The newsletter was comprised of a single sheet, with text on both sides. On the front side it was made clear that the newsletter was concerned only with Michael Thornton's rezoning application which was to be heard June 29, 1998, by the APC. The text on the first page includes the following:

> "Mr. Thornton will not be throwing a straight-forward fastball right out over the plate where we could get a good look at it. Look for curves, sliders, and if we get behind in the count, watch for the sinker."

[44] On the second page, the back side, is what is called the "East Sooke Trivia Test". It is in questions 4 and 5 of this "test" that the allegedly defamatory language occurs.

[45] The introduction to the test is as follows:

> As a warm-up exercise, we thought we'd present an East Sooke political trivia test that might help us understand how East Sooke has come to find itself in the bottom of the ninth, standing at the plate with the whole season-and all the seasons to come-on the line. Batter up!

Thereupon follows a series of seven questions. Questions 4 and 5 are as follows:

> 4. Which candidate in the 1996 election for regional director accepted campaign funding funnelled through numbered companies, one of which turned out to be controlled by Michael Thornton ... [Answer: Bob Clark]

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> 5. Can you name the regional director who was preparing to send Michael Thornton’s ALR exclusion application straight to the Agricultural Land Commission without a public hearing, but was foiled when the umpires threw him out of the game? [Answer: Bob Clark]

[46] After the draft was prepared it was sent by fax to all of the directors and members of the editorial team. Barbara Kohne denies having any involvement in the Hardball Newsletter, but her denial of involvement was not credible. There is no doubt that the draft of the newsletter was faxed to her home for comments by Charlotte Funston. Her husband testified that he saw it and said he was so concerned about its contents that he went to the Funston-Pettit residence the day he received it to tell them not to send it. He also said that he never discussed the newsletter with his wife or the fact that he tried to stop it being sent out. Neither Ms. Funston nor Mr. Pettit gave any evidence to confirm Mr. Kohne's story.

[47] I do not believe that Mr. Kohne attempted to stop Pettit and Funston from sending the newsletter out, nor am I satisfied that he did not discuss the newsletter with his wife, particularly as he felt so strongly about it.

[48] Mrs. Kohne said that because she had to look after her ailing father in Vancouver during the month of June, she could

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not have been involved in the newsletters because she had no time to devote to them and her mind was on her father's needs. However, she did participate in editing the other two newsletters and, in addition, on June 23, 1998, she wrote a detailed letter to the Ministry of Transportation and Highways to complain about the roadwork taking place in front of her property on East Sooke Road, the road to the Silver Spray property. In the letter she described in detail the timing of the work each day from June 6, 1998, apparently from her personal observations. When she was examined for discovery with respect to whether she had seen a draft of the Hardball Newsletter before it was published she said she did not recall and that she had nothing from which to refresh her memory. At trial she insisted that this answer meant "no".

[49] Taking all of this evidence into consideration, I am compelled to conclude that the evidence of both Mr. and Mrs. Kohne in relation to their involvement with the Hardball Newsletter was not reliable or credible. I am satisfied that Mrs. Kohne received the draft of the Hardball Newsletter for her comments before it was mailed out.

[50] A couple of days before the Hardball Newsletter was mailed out there was a meeting of the members of RAES who were involved in the production of the newsletters. At that

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meeting, the Hardball Newsletter was presented for final comments. Present at that meeting were: Ms. Funston, Mr. Pettit, Mr. Crow, Ms. Thompson and Mr. Graham. There may have been others present but none of the witnesses had a recollection of who else was there. I am satisfied that Barbara Kohne was not there, nor was Gloria Graham. At that meeting Fred Graham asked Crow and Pettit whether what they were saying in the trivia contest was true and he was told that it was. That satisfied him.

[51] The Hardball Newsletter was then put into final form by Charlotte Funston and sometime around the middle of June 1998 it was mailed out to all of the residents of East Sooke who received bulk mail.

[52] On July 13, 1998, the lawyer for the Capital Regional District wrote to Michael Pettit complaining that certain of the contents of the Hardball Newsletter were not true and had tarnished the reputation of the CRD. In particular, amongst other complaints, the letter pointed out that Mr. Clark had never received a campaign contribution from Mr. Thornton through a numbered company and that Mr. Thornton's exclusion application was not received by the CRD until after Mr. Clark had left office. The letter also mentioned that Mr. Clark would be in touch with them through his own lawyer regarding

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these issues. The CRD demanded that RAES acknowledge within three weeks that the allegations were false and issue an apology.

[53] By way of response to this letter RAES had a lawyer, Bruce Torrie, write a letter back in which he said the following:

> "In respect of items 3 & 4, my clients invite you to produce the legal opinions that you refer to, and maintain that the statements are essentially accurate and not defamatory and have not damaged the reputation of the CRD or of Mr. Clark. As to item 5, my clients stand by their statements."

[54] Item 3 is irrelevant to these proceedings. Item 4 is the question about campaign contributions and Item 5 is the question about the processing of Thornton's application for exclusion from the ALR. With respect to Item 4 the legal opinion referred to had nothing to do with the campaign contribution but was related only to the remainder of question four, which is irrelevant to these proceedings.

[55] No retraction or acknowledgment was given nor apology made. Nor was any inquiry made by any of the defendants to determine whether what they had published in the newsletter about the campaign contribution and the exclusion application was true. In fact they had no interest in determining whether what they had published was or was not true.

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[56] On July 22, 1998, the Sooke News Mirror published a letter apparently from a Charlyn Bowers. According to Ms. Thompson, Ms. Bowers is a friend of hers. Ms. Thompson says that the letter was written by Ms. Bowers but that she typed it, added the words “and is devoid of all life” and took it to the newspaper to be published. The letter contains the following language of which the plaintiff complains:

> “I walked on, and my gaze shifted to that dynamite view of Possession Point. That incredibly beautiful forested point is gone. With the exception of the farmland, the entire shore has been hacked down and bulldozed, and is devoid of all life.”

[57] Possession Point is a part of the Silver Spray Lands. It is true that the top 30 feet of the point had been removed by the plaintiff in preparation as the site for the eco-lodge that he planned to build. There is, however, much conflict in the evidence as to whether the description “hacked down and bulldozed, and is devoid of all life” was true. Ms. Thompson acknowledged that it was an exaggeration but said that the rest of the description is reasonably accurate.

[58] On August 21, 1998, Mr. Clark’s solicitor wrote to RAES, with copies by double registered mail to all of the defendants and to a number of other persons, whose names had appeared in the newsletter which followed the Hardball Newsletter as RAES

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representatives, on the assumption that they were persons also involved in the publication of the Hardball Newsletter. In this letter, Mr. Bruce Jordan, the lawyer for Mr. Clark, specifically denied the truth of a number of the allegations in the Hardball Newsletter including the allegations contained in questions 4 and 5. He demanded a detailed retraction and an apology by August 28, 1998, failing which legal action would be commenced against all of the persons named.

[59] No retraction or acknowledgment was given nor was there an apology. Mr. Clark commenced an action for defamation based on what had been published in the Hardball Newsletter.

[60] The defendants Pettit, Crow, Funston and Thompson all admitted that they were not at all interested in finding out whether what was published in questions 4 and 5 was true. They maintained that the letter from Bruce Torrie on their behalf in response to the letter from the CRD lawyer was sufficient response not only to the CRD demands but to Clark’s demands and to the plaintiff’s action. Because there was no response to their demand for copies of the legal opinions they considered the matters of little importance.

[61] Similarly, neither Fred Graham, Gloria Graham or Barbara Kohne made any response to the demands for retraction and apology.

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[62] Mr. Crow, Ms. Thompson, Mr. Pettit and Ms. Funston all said that they considered these letters from lawyers just a form of political intimidation and harassment. They were suspicious of the involvement of the CRD on the one hand, and of the involvement of Bruce Jordan as lawyer for Mr. Clark because Bruce Jordan is the son of William Jordan, the then CEO of the CRD. They saw these letters as evidence of a conspiracy. Whether it was a conspiracy to silence them or a conspiracy to support the proposed development of the Silver Spray land is not clear. It appears from the evidence at trial that they continue to subscribe to the conspiracy theory and Mr. Pettit said that he was, and remains, “disgusted” by the letter from the lawyer for the CRD.

[63] The writ and statement of claim in this action were filed August 12, 1998, by Mr. Thornton’s lawyer at the time. They were served on the various defendants in late August or early September of that year.

[64] After the pleadings were served on the defendants they made no effort to determine whether they had published untrue statements but instead continued to publish claims that the plaintiff’s suit was a “SLAPP suit” intended to silence them, along with other unflattering descriptions of the plaintiff.

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The publications subsequent to the commencement of this action, as found in the evidence, are the following.

[65] In September of 1998 RAES responded to the commencement of this action in another newsletter, the “David and Goliath Newsletter”. That newsletter contains the following:

> “Fifteen innocent lives have been disrupted because Mr. Thornton wishes to silence those people who disagree with his large scale development plans for our neighbourhood.
>
> All good people in our community should be outraged at this blatant act of intimidation.”

[66] In an article in the Sooke News Mirror September 2, 1998, Mr. Crow again referred to this action as a SLAPP suit “taken to stifle public opinion”.

[67] In January of 1999, Mr. Crow had a telephone conversation with Ralph Smith, a person he had never met but whom he believed to be interested in a piece of residential property near to his home and near to the Silver Spray Lands. Mr. Smith was a private investigator hired by the plaintiff. Having regard to the deposition evidence of Mr. Smith, I am satisfied that he did nothing to trick or otherwise encourage Mr. Crow to make the following remarks to him:

1. What my wife (Lani Thompson) and I have done for the past two years we’ve spent every waking

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> moment of our lives trying to stop this guy [Thornton].
>
> 2. He (Thornton) is a tyrant.
>
> 3. He's completely destroyed the watershed and now our water stinks.
>
> 4. When he purchased the property in '96 the Sooke regional director's name was Bob Clark and he was in on it.
>
> 5. So we're sort of having what I call a Mexican standoff where this guy you know doesn't seem like he's going to give up until we grind him into the ground ...
>
> 6. I like to call him the most congenial pathological liar on the planet.
>
> 7. He's such a conman and he has no ... he has no measure of truth.
>
> 8. They're incredibly dirty.
>
> 9. He's gone in and attacked our watershed as a way to convince us that we need piped water.
>
> 10. It's a big scam ... he's a conman.

[68] There are other derogatory comments in the conversation but they have not been particularized.

[69] In two more publications in 1999 Mr. Crow repeated the allegation that the action was without foundation including, in December of 1999, the following:

> "He has engaged in a two-and-half-year campaign of vilification and legal intimidation of many of those who dared to rise to the defence of the rural environs of the East Sooke community."

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[70] In late 1998 the Sierra Legal Defence Fund ("SLDF")offered to represent the defendants. The responsible counsel at the SLDF was Angela McCue. It appears from the testimony of the defendants, for reasons that are not before this court, that the SLDF was of the opinion that this was an action brought for the purpose of silencing the defendants. It also appears that SLDF encouraged the defendants to continue speaking out.

[71] Sometime in 1999 Mr. Thornton began to represent himself in these proceedings. In February of 2000 he conducted examinations for discovery of several of the defendants, including Mr. Crow and Mr. Pettit. In conjunction with these examinations he delivered to the defendants, through their counsel, a letter on February 21, 2000, in which he demanded an apology. It was ignored.

[72] Sometime after this date the Sierra Legal Defence ceased to represent the defendants.

[73] In September 2000 Mr. Pettit sent a “Community Information Bulletin” to the Sooke News Mirror for publication. The paper declined to publish it and so, in October, he sent it to all East Sooke residents. In the document he said the following:

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> "Michael Thornton has lied and mislead [sic]. Michael Thornton has bullied. Michael Thornton has incurred a large amount of indebtedness in the full knowledge that he might very well lack the ability to repay those debts .... Michael Thornton has engaged in, and apparently encouraged his supporters to engage in, ongoing campaigns of character assassination.
>
> In short Michael Thornton's behaviour in East Sooke has been deceitful and manipulative. He has used 'divide and conquer' tactics in our community and the unhappy results are obvious.
>
> Why have we let this unethical land speculator come between us? Unfortunately, there may be some in the community who have entrusted their financial resources to this man. If so, they very possibly have made an unwise financial decision.
>
> ... allow us to cleanse East Sooke of the sickness that Michael Thornton's unseemly behaviour has visited upon us."

[74] On November 2, 2000, Michael Pettit wrote a letter to the CRD Land Use Committee which he presented orally to the committee in opposition to Mr. Thornton's application for rezoning of the Silver Spray lands. In that letter he said the following:

> 1. I believe that it is important for you to be aware of some examples of the questionable tactics that the applicant [Thornton] has applied in his quest to rezone Silver Spray.
>
> 2. The applicant has frequently supplied mis-information to the public.
>
> 3. The applicant is engaged in what appear to have been efforts to intimidate.

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4. "The applicant appears to have used the legal system as a tool of intimidation on other occasions. In August of 1998 he filed suit against 15 individuals and the rural association of East Sooke, claiming that they had defamed him and damaged his reputation as a businessman. If that were true, one would expect that as the plaintiff, Mr. Thornton would wish to place the matter before the court at the earliest possible opportunity, in order to remove the alleged stain from his character. But in fact he has continuously engaged in tactics designed to delay progress of the suit."

5. The applicant appears to resort to fear mongering in order to influence the political process.

6. On May 28, 1999, one day before elections for trustees for the East Sooke Fire Improvement District, an anonymous flyer with pictures of burning bombs and dynamite on it, now known to have been authored by the applicant, was distributed to every household in East Sooke, accusing residents who had attended the annual general meeting of the East Sooke Community Association some weeks earlier of staging "a pearl harbour sneak offensive", and claiming the "irresponsible actions" of the rural association could "lead to unnecessary loss of life."

7. The applicant and his supporters appear to have carried out campaigns of character assassination against those who have voiced objections to the development proposal.

[75] By this time Mr. Pettit and the other defendants knew that the allegation in the Hardball Newsletter that Mr. Thornton had funnelled a campaign contribution to Mr. Clark through a numbered company, was not true. They knew that the truth was that Mr. Thornton had made a $500

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contribution to Mr. Clark's campaign by personal cheque. There is also no evidence that it was ever known that Mr. Thornton had authored the bomb flyer and I find that that allegation was not true and that there was no basis upon which Mr. Pettit could ever have reasonably believed it to be true.

[76] In early 2001, Mr. Thornton retained his present counsel to represent him in the pursuit of his claims in this action. Mr. McConchie took steps to set down further examinations for discovery and on February 7, 2001, before conducting the remaining discoveries, he delivered to the defendants through their counsel, Angela McCue, a "With Prejudice" offer to settle all claims without seeking damages or legal costs in return for a written retraction of four articulated allegations and an apology. The four allegations were:

1. That he “funnelled” campaign funding through a numbered company to a candidate in the 1996 election for regional director, or otherwise made a covert or improper political contribution to a candidate;

2. That he caused an environmental crisis by sending a wrecking crew into East Sooke Park;

3. That he annihilated the foreshore botanical ecosystem on his property; and

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4. That he contrived to have logging, road building and log haulage occur in a clandestine manner, to deceive the public about what was occurring on his property.

[77] There was no response to this offer and the discoveries were continued in April and May 2001.

[78] In June 2001 the defendants Crow, Thompson, Pettit, Funston and Bowman commenced an application pursuant to the ***Protection of Public Participation Act***, R.S.B.C. 2001, c. 19, to have this action dismissed, alleging that it was brought for the improper purpose of silencing them. That application was heard in the spring of 2002 and was dismissed by written reasons in July of that year. The claims against Mr. Bowman were settled during the course of this trial.

[79] In December of 2002 the defendants brought an application to amend their statement of defence and counterclaim. The plaintiffs sought at that time to have the counterclaim dismissed. As a result of those applications the defendants were allowed to amend their pleadings to claim the defence of qualified privilege but their counterclaim, in which they alleged that the action was brought for an improper purpose, namely to silence them, was dismissed.

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[80] Sometime in December 2002 the defendants Crow, Thompson, Pettit, Funston and Barbara Kohne participated in a CBC news programme called "Disclosure". "Disclosure" is a weekly current affairs programme broadcast nationwide. The programme was broadcast a week before this trial commenced. During the interview, Mr. Crow said the purpose of this action was to silence them. And while admitting that the allegation about campaign funding was wrong they characterized it as "just a mistake" and acknowledged that they had not apologized. The overall tone of the their comments on the programme was one of sympathy for themselves having been victimized for speaking out in defence of the Silver Spray lands.

[81] Then, in the first week of January 2003, the defendants Crow, Thompson, Pettit and Funston mailed a two-page “apology” to all of the residents of East Sooke.

[82] The apology began with what appears to be an apology to Mr. Thornton related to the suggestion that he had funnelled a campaign contribution to Mr. Clark through a numbered company. The apology describes how, through a reading of newspaper articles from which they made certain inferences, the defendants concluded that what they had published in the Hardball Newsletter was true. They then blamed Mr. Thornton for their conclusion because he did not correct a factual

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error that had occurred in a letter to the editor from Jim Bowman in September 1997.

[83] Mr. Pettit admitted that the purpose of the apology was to explain that it was Mr. Thornton's failure to correct a factual error in the letter of September 1997 that was responsible for their conclusions, which they then published in the Hardball Newsletter.

[84] Mr. Thornton testified as to the impact on him of the various publications, including those subsequent to the publications complained of. He said he had a business that depended on investors trusting him with their money. He said that on the day of the publication of the Hardball Newsletter his home phone was ringing off the hook. He said there were approximately 20 calls and that all of those calls, with one or two possible exceptions, related to paragraphs 4 and 5 of the Hardball Newsletter. He went to a meeting that evening where the Hardball Newsletter, specifically Items 4 and 5, was discussed and where he had to defend himself and assure people that what was in those questions was not true. He said that there were a lot of people at the meeting.

[85] He said that as a result of the Hardball Newsletter he could not sleep, was restless "trying to figure out what I was going to do.". He said it remained his primary focus for a

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long time. He said: "Although I had been feeling positive about Silver Spray, it was still just a part of life. I had a lot of other interests. This newsletter threatened all of that." He said that his inner turmoil, resulting primarily from the publication of the Hardball Newsletter, continues to the present. His wife had worked with him in the development business since 1983 but after the publication of the Hardball Newsletter she quit. Asked about any effect on his social life, he responded: "It became the topic of discussion whether I wanted it to be or not. It became a dominant theme." Asked about the effect on his business life, he responded: "Prior to the newsletter, every year we had capitalized a partnership fund, somewhere in the $7 to $10 million range. After the newsletter I had not capitalized a single offering. I wanted an apology earlier despite the costs I had incurred because I wanted to get back to business. I was not comfortable in the business world with this cloud hanging over my head, all of these allegations." Asked whether there been other occasions where the Hardball Newsletter came up as the topic of discussion, he said: "Over the years the number of times has to be in the hundreds. Initially the people that spoke of it used to be in the Sooke electoral area. Then after the lawsuit and the claims that it was a SLAPP suit, people across the country knew about it.

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After the CBC program I heard about it from people across the country again. I am certain that people all over the Island know."

DEFAMATION

[86] The burden is on the plaintiffs to prove on a balance of probabilities that the defendants published or caused to be published comments about him that are defamatory. Once that has been done the burden shifts to the defendants to establish a defence.

[87] There is no dispute that the three letters of which the plaintiffs complain were published by the defendants as alleged. In particular, the letter of May 8, 1997, was published by Mr. Crow and the other two letters were published by Ms. Thompson.

[88] As for the Hardball Newsletter, there is no dispute that the defendants Crow, Thompson, Pettit and Funston participated directly in the publication. The defendants Barbara Kohne and Fred Graham deny involvement in that publication.

[89] Mr. Crow, Ms. Thompson, Mr. Pettit and Ms. Funston all maintained that the publications in which they were involved were not defamatory. In the alternative they all plead fair comment and qualified privilege in defence.

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THE LAW

[90] Expression which tends to lower a person's reputation in the estimation of right-thinking members of society generally, or to expose a person to hatred, contempt or ridicule, is defamatory: ***Cherneskey v. Armadale Publishers Ltd.***, [1979] 1 S.C.R. 1067 at 1079.

[91] Expression which would cause a plaintiff to be shunned or avoided is also defamatory. The weight of authority appears to favour the view that such allegations are defamatory even if there is no implication that the plaintiff deserves blame for his or her condition: ***Halls v. Mitchell*** (1926), 59 O.L.R. 590 (C.A.).

[92] Defamatory imputations arise in one of three ways: the literal meaning; the inferential meaning; and the “legal innuendo. In all four of the publications complained of here it is the inferential meaning which the plaintiff says is defamatory.

[93] In considering the inferential meaning of the words complained of, the sting of the defamation lies not so much in the expression itself as in the meaning that the ordinary person, without special knowledge, will infer from it. This meaning is a matter of impression.

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[94] In ***Lewis v. Daily Telegraph Ltd.***, [1963] 2 All E.R. 151, Lord Reid for the court said, at pages 154-155:

> What the ordinary man would infer without special knowledge has generally been called the natural and ordinary meaning of the words. But that expression is rather misleading in that it conceals the fact that there are two elements in it. Sometimes it is not necessary to go beyond the words themselves as where the plaintiff has been called a thief or a murderer. But more often the sting is not so much in the words themselves as in what the ordinary man will infer from them and that is also regarded as part of their natural and ordinary meaning. Here there would be nothing libelous in saying that an inquiry into the appellants' affairs was proceeding: the inquiry might be by a statistician or other expert. The sting is in inferences drawn from the fact that it is the fraud squad which is making the inquiry. What those inferences should be is ultimately a question for the jury but the trial judge has an important duty to perform.
>
> ...
>
> In this case it is, I think, sufficient to put the test this way. Ordinary men and women have different temperaments and outlooks. Some are unusually suspicious and some are unusually naïve. One must try to envisage people between these two extremes and see what is the most damaging meaning that they would put on the words in question ... What the ordinary man not avid for scandal, would read into the words complained of must be a matter of impression.

[95] It is for the trier of fact to determine the sense in which the words would reasonably have been understood by an ordinary man in the light of generally known facts. The intention of the author and publisher is not relevant on the issue of meaning. Nor is the subjective opinion of the

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plaintiff as to the meaning of the expression any more relevant: ***Hodgson v. Canadian Newspapers Company Limited*** (1998), 39 O.R. (3d) 235 (Ont. Gen.Div.), varied on other grounds on appeal, [2000] O.J. No. 2293 (C.A.).

[96] What is defamatory may be determined from the ordinary meaning of the published words or matter, or from the surrounding circumstances, as they would be understood by the ordinary, reasonable and fair-minded reader. The test is an objective one: ***Botiuk v. Toronto Free Press Publishers Ltd.***, [1995] 3 S.C.R. 3 at paragraph 62.

ANALYSIS

Mr. Crow's May 8, 1997, Letter

[97] The plaintiffs plead that "... since the wrecking crew from Vancouver arrived and began ripping the heart out of East Sooke Park" would have been understood by the ordinary reader to have meant that Mr. Thornton and the plaintiff companies were actually doing damage directly to East Sooke Park.

[98] Having regard to that language in the context of the letter as a whole, I am not persuaded that the statement would have been understood to have had the defamatory meaning alleged. Rather it is apparent from a reading of the whole of the letter that Mr. Crow was using hyperbole to describe his

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view of the impact on East Sooke Regional Park of the work being done on the Silver Spray lands and that he was not saying that work was actually taking place inside the park.

[99] The plaintiffs also plead that the references in the letter to hauling out many dozens of logs "... in the wee hours ... so as not to attract attention" and "working fast behind closed gates, with no scrutiny" would have been understood by the ordinary reader to refer to Mr. Thornton as well as the two corporate plaintiffs and have the following defamatory meaning:

> That the Plaintiffs and each of them contrived to have logging, road building and log hauling occur in a clandestine manner, to conceal their desecration of East Sooke Regional Park fro the public and to conceal the development of the Silver Spray Lands.

[100] I am not persuaded that the ordinary reader would have understood the letter to refer to other than Mr. Thornton, taking into account that although there had been reference by Mr. Thornton to his companies prior to the publication of this letter, it appears from all of the material and evidence that the companies were seen as an alter ego of him and not standing alone with their own persona. However I have no hesitation in concluding that the language complained of, considered in the context of the whole of the

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letter, would be understood by the ordinary reader to mean that Mr. Thornton was a person who was a person intent on hiding his development activities from the public, that he was dishonest. That is defamatory.

The Thompson Letter of August 13, 1997

[101] The plaintiffs say that the language complained of, which has been set out previously in these reasons, would have been understood by the ordinary reader to mean that Mr. Thornton:

> Deliberately and callously harmed the environment by causing invasive grass to be planted with a high dose of nitrate fertilizer on the Silver Spray Lands;
>
> Deliberately and callously annihilated the entire foreshore botanical ecosystem on the Silver Spray Lands and rendered the foreshore useless for mammals, reptiles, amphibians and birds.

[102] It is obvious from a consideration of the letter as a whole that its purpose was to counter Mr. Thornton's presentation of himself as a developer sensitive to environmental concerns. There is nothing inherently objectionable about that goal. However, taking into consideration the temporal context in which the letter was published as well as the context of the letter as a whole, I am satisfied that the gross exaggerations and the false

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allegations contained in the language complained of, all of which were stated as facts, would have led the ordinary reader to conclude that Mr. Thornton was not eco-conscious but rather had a callous disregard for the environment and ecology of the Silver Spray lands. That is defamatory.

The Hardball Newsletter of June 1998

[103] Mr. Thornton says that the ordinary reader would have understood questions 4 and 5 of the Trivia Test to have meant that he bribed the Regional Director, Bob Clark, he had a corrupt or unethical arrangement with him and he was deceitful.

[104] I have no hesitation in finding that the language complained of in the Hardball Newsletter, which is set out in the narrative portion of these reasons, when considered in the context of the publication as a whole, would have been understood by the ordinary reader to mean that Mr. Thornton hid his campaign contribution to Mr. Clark in return for getting approval for his development related application and he was therefore a person who was corrupt, dishonest and unethical. That is defamatory.

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The Thompson Letter of July 22, 1998

[105] Mr. Thornton says that the ordinary reader would have understood the letter to refer to all of the plaintiffs and to mean that all of the plaintiffs deliberately and callously harmed the environment by hacking down and bulldozing all of the trees and vegetation off Possession Point rendering it devoid of all life.

[106] The description of the entire shore of Possession Point as having been “hacked down, and bulldozed and ... devoid of all life” was, as I have found, at best a gross exaggeration with respect to areas other than Possession Point itself and, with respect to Possession Point, was untrue. Considering the language complained of in the context of the letter as a whole and the context of the knowledge of the ordinary reader by this time in the "debate", I have concluded that the ordinary reader would have understood this to be gross exaggeration for effect and would not have ascribed to it the meanings complained of. I am not persuaded that it is defamatory.

DEFENCES

[107] Mr. Crow, Ms. Thompson, Mr. Pettit and Ms. Funston all maintained that the words used in the publications in

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which they were involved were not defamatory. In the alternative they pleaded the defences of fair comment and qualified privilege.

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FAIR COMMENT

[108] The defence of fair comment is available if the defamatory expression is comment made honestly and fairly, without malice, on true facts expressed or implied in the defamatory expression, on a matter of public interest. ***Vander Zalm v. Times Publishers*** (1980), 18 B.C.L.R. 210; 109 D.L.R. (3d) 531 (B.C.C.A.) per Nemetz, C.J.B.C. at pp. 535-536:

> The burden is on the defendant to prove that the expression is:
>
> 1. Recognizable by the ordinary reasonable person as comment;
>
> 2. On a matter of public interest;
>
> 3. Based upon facts that are true; and
>
> 4. Made honestly and fairly. ***Cherneskey v. Armadale Publishers Ltd.***, [1979] 1 S.C.R. 1067 at 1099-1100.

[109] The defendant who raises fair comment does not have to prove that the comment is true. In ***Sutherland v. Stopes***, [1925] A.C. 47 (H.L.) Viscount Finlay says at p. 62:

> The defendant who raises this defence does not take upon himself the burden of showing that the comments are true. If the facts are truly stated with regard

> to a matter of public interest, the defendant will succeed in his defence to an action of libel if the jury are satisfied that the comments are fairly and honestly made. To raise this defence there must, of course, be a basis of fact on which the comment is made.

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[110] An assertion of fact can never be defended as fair comment. The defendant must prove, on a balance of probabilities, that the impugned expression is a comment: ***Manitoba Free Press Co. v. Martin*** (1892), 21 S.C.R. 518 at 528.

[111] The expression must be recognizable to the ordinary reasonable person as a comment upon true facts and not as a bare statement of fact. The reader, viewer or listener is then in a position to arrive at his own conclusion whether the defamatory expression is founded or unfounded: ***Vander Zalm v. Times Publishers,*** *supra,* and ***Hodgson v. Canadian Newspapers Co.*** (1998), 39 O.R. (3d) 235 at 385, 391 (Gen.Div.); (2000) 49 O.R. (3d) 161; 189 D.L.R. (4th) 241 (Ont. C.A.), leave to appeal to the Supreme Court of Canada denied [2000] S.C.C.A. 465.

[112] If the facts are not presented to the readers together with the defamatory expression, they must be well known to the readers or the defence fails: ***Barltrop v. Canadian Broadcasting Corp.*** (1978), 86 D.L.R. (3d) 61 at p. 73

(N.S.A.D.), leave to appeal to Supreme Court of Canada denied (1978) 23 N.R. 447.

[113] The test for determining whether expression is a comment or a statement of fact is objective. What is comment and what is fact must be determined from the perspective of a reasonable viewer, listener or reader. Whether the defendant subjectively intended the expression to be a comment is irrelevant to the determination of this issue: ***Ross v. New Brunswick Teachers' Association*** (2001), 201 D.L.R. (4th) 75 (N.S.C.A.), per Daigle C.J.N.B. at paragraph 62.

[114] In ***Myers v. Canadian Broadcasting Corporation*** (2000), 47 C.C.L.T. (2d) 272, affirmed (2001), 54 O.R. (3d) 626, leave to appeal to Supreme Court of Canada denied [2001] S.C.C.A. 433, Bellamy J. said at page 300, paragraph 89:

> The key lies in determining whether a defamatory statement or broadcast is presented as an objective fact which requires no support, or whether it is presented as a comment or opinion for which the supporting facts are included. Indeed, the difference can be a subtle one, since opinions are often expressed more as facts than as personal views. Regardless of how it is expressed, in order for the defence of fair comment to apply, the opinion must still be recognizable to the reasonable viewer as an opinion. To do this, the opinion must be supported by enough true facts for the viewer to see how the commentator could have reached this conclusion.

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[115] To qualify as fair comment, expression must not contain imputations of corrupt or dishonourable motives on the part of the person whose conduct is criticized save insofar as such imputations are warranted by the true facts. It is not enough that the defendant simply hopes that the allegations will turn out to be true and considers that the benefits of publishing the expression are worth the risk of being proved wrong: ***Vogel v. C.B.C.***, [1982] 3 W.W.R. 97 (S.C.), per Esson J. at pp. 173-174.

[116] The defendant must also establish that the subject of the comment is a matter of public interest. This is a question of law: ***Price v. Chicoutimi Pulp Co.*** (1915), 51 S.C.R. 179.

[117] The phrase “public interest” is not to be defined narrowly. In ***London Artists Ltd. v. Littler,*** [1969] 2 All E.R. 193 Lord Denning M.R. said this at p. 198:

> Whenever a matter is such as to affect people at large, so that they may be legitimately interested in, or concerned at, what is going on; or what may happen to them or others, then it is a matter of public interest on which everyone is entitled to make fair comment.

[118] The defence of fair comment will be defeated if the plaintiff establishes on a balance of probabilities that the defendant was guilty of malice in publishing the comment:

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Cherneskey v. Armadale Publishers Ltd., *supra,* per Ritchie J. at 1080-1081; ***Johnson v. Joliffe*** (1981), 26 B.C.L.R. 176 (S.C.); and ***Leenen v. Canadian Broadcasting Corporation***, (2000), 48 O.R. (3d) 656 at 701, affirmed (2001) 54 O.R. (3d) 612 (C.A.), leave to appeal denied [2001] S.C.C.A. 432.

Application To The Impugned Publications

[119] In Mr. Crow's letter of May 8, 1997, and Ms. Thompson's letter of August 13, 1997, the matters complained of are clearly set out as facts and not as comment based on facts. Even if the publication contained comment which was based on the alleged facts the defence could not survive because the “facts” are not true.

[120] The defendants' position in relation to the Hardball Newsletter June 1998 is the same. The alleged facts being untrue, the defence of fair comment cannot be established.

QUALIFIED PRIVILEGE

[121] Having determined that the defence of fair comment has not been established in relation to any of the defamatory publications it is necessary to consider the defence of qualified privilege.

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[122] This defence only applies to an occasion where the defendant has an interest or a duty – legal, social or moral – to communicate the defamatory expression and its recipients have a corresponding duty or interest to receive that communication: ***Pressler v. Lethbridge*** (2001), 86 B.C.L.R. (3d) 257 (C.A.) per Southin J.A. at page 295.

[123] The defence of qualified privilege is intended to serve “the general interests of society” and “the common convenience and welfare of society” rather than the interests of individuals or a class: ***Halls v. Mitchell***, [1928] S.C.R. 125 at 147. Duff J., writing for the majority in ***Halls v. Mitchell***, stated at pages 132-133:

> The defamatory statement is ... only protected when it is fairly warranted by some reasonable occasion or exigency, and when it is fairly made in discharge of some public or private duty, or in the conduct of the defendant’s own affairs in matters in which his interests are concerned. The privilege rests not upon the interests of the persons entitled to invoke it, but upon the general interests of society, and protects only communications “fairly made” in the legitimate defence of a person’s own interests, or plainly made under a sense of duty, such as would be recognized by “people of ordinary intelligence and moral principles".

[124] Qualified privilege attaches only to the “occasion” upon which the communication is made and not to the communication itself: ***Hill v. Church of Scientology of***

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Toronto, [1995] 2 S.C.R. 1130 per Cory J. at 1188, paragraph 143:

> It is a question of law as to whether the facts and circumstances alleged and proved by the defendant are sufficient to bring the expression within the privilege. The burden of proof rests on the defendant. ***Globe & Mail Ltd. v. Boland***, [1960] S.C.R. 203 at 209.

[125] To clothe an occasion with privilege on the ground of common interest, the common interest must be in the subject matter of the communication complained of: ***Sapiro v. Leader Publishing Co. Ltd.***, [1926] 3 D.L.R. 68 (Sask C.A.) per Lamont J.A. for the Court at pp. 69 and 74.

[126] It is not sufficient that the defendant, honestly and with some reason, believed that the interest or duty existed. There must, in fact, be such an interest or such a duty as, when all the circumstances are considered, warranted the communication. The court must say whether it is for the welfare of society that such a communication honestly made should be protected by clothing the occasion of the publication with privilege: ***Halls v. Mitchell***, *supra,* 125 per Duff J. at 134.

[127] The mere fact that the defamatory expression "*relates to matters of public interest*" or is "*addressed to matters of public interest*" is not sufficient to create an

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occasion of qualified privilege: ***Littleton v. Hamilton*** (1974), 4 O.R. (2d) 283 (Ont.C.A.) per Dubin J.A. for the Court at 285.

[128] In ***Pressler v. Lethbridge***, *supra,* at pp. 295-297 Southin J.A. adopted the principles expressed by the English Court of Appeal in ***Blackshaw v. Lord***, [1983] 2 All E.R. 311:

> In *Blackshaw v. Lord*, [1983] 2 All E.R. 311 (Eng.C.A.), Stephenson L.J. summarized the principles in terms which I consider accurate, at 327:
>
> > The subject matter must be of public interest; its publication must be in the public interest. That nature of the matter published and its source and the position or status of the publisher distributing the information must be such as to create the duty to publish the information to the intended recipients, in this case the readers of the Daily Telegraph. Where damaging facts have been ascertained to be true, or been made the subject of a report, there may be a duty to report them (see *Cox v. Feeney* (1863) 4 F & F 13, 176 E.R. 445; Perera v. Peiris, [1949] A.C. 1 and *Dunford Publicity Studios Ltd. v. News Media Ownership Ltd.* [1971] N.Z.L.R. 961) provided the public interest is wide enough (*Chapman v. Lord Ellesmere*, [1932] 2 K.B. 431, [1932] All E.R. Rep 221). But where damaging allegations or charges have been made and are still under investigation (*Purcell v. Solwer* (1877) 2 CPD 215) or have been authoritatively refuted (*Adam v. Ward* (1915) 31 TLR 299; aff'd [1917] AC 308, [1916-17] All E.R. Rep 157), there can be no duty to report them to the public.
>
> > ...
>
> > There may be extreme cases where the urgency of communicating a warning is so great,

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> or the source of the information is so reliable, that publication of suspicion or speculation is justified; for example where there is danger to the public from a suspected terrorist or the distribution of contaminated food or drugs; but there is nothing of that sort here. ...
>
> The protection of this defence is lost if:
>
> (1) the plaintiff proves that the dominant motive for publishing the defamatory expression is actual or express malice; or
>
> (2) the limits of the duty or interest have been exceeded. This occurs when:
>
> a. the speaker includes anything which is not relevant or pertinent, or in other words, not reasonably appropriate in the circumstances existing on the occasion when the information is given;
>
> b. the manner and extent of communication is excessive.

Hill v. Church of Scientology of Toronto, *supra,* per Cory J. at pages 1189-1190 and ***Botiuk v. Toronto Free Press***, [1995] 3 S.C.R. 29 per Cory J. (La Forest, L'Heureux-Dube, Gonthier, McLachlin and Iacobucci JJ. concurring) at pages 29-30.

[129] The burden of proving actual or express malice rests on the plaintiff: ***Netupsky v. Craig***, [1973] S.C.R. 55 at pp. 61-63:

> Where the occasion is held to be privileged, the plaintiff has the burden of proving malice against each of the defendants. ***Sun Life Assurance Co. of Canada et al. v. Dalrymple***, [1965] S.C.R. 302 at 310.

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> In summary, the defence of qualified privilege is a defence to defamation available in very limited circumstances. In general, it is only available where the defendant is found to have a duty to make the impugned statement and the recipients have an interest in receiving the information, all in exigent circumstances.

[130] The defendants argue that this defence is available to them because the issue of the development of the Silver Spray Lands was a matter of public interest, the residents of East Sooke to whom the letters and the newsletter were sent or made known through the local newspaper all had an interest in receiving the information and the situation was urgent. They argue that to deny them the defence of qualified privilege in the circumstances would be an infringement on their right to freedom of speech and freedom of expression.

[131] I have concluded that none of the publications complained of were made in exigent circumstances, none of the defendants had a duty or an obligation to make the impugned statements he or she published nor did the recipients have a corresponding interest in receiving that information.

[132] This conclusion does not infringe the defendants' freedom of speech but merely confirms what previous authority has more eloquently described: That freedom of speech cannot

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be so completely unfettered as to give a person the absolute right to defame another.

MALICE

[133] Having concluded that neither the defence of fair comment nor the defence of qualified privilege has been made out, it is not necessary to deal with the issue of malice at this point. However, I have concluded that malice was established in relation to the publication of the Hardball Newsletter. The analysis of this issue will be dealt with in detail in the section on aggravated or punitive damages.

JOINT LIABILITY: THE HARDBALL NEWSLETTER

[134] Barbara Kohne, Fred Graham and Gloria Graham all argue that they were not involved in the publication of the Hardball Newsletter. I have found that each of them was in some way involved in its publication. The question remains as to whether that involvement was sufficient to find them liable with the other four defendants for the damage to Mr. Thornton's reputation.

[135] All persons who aid or participate in the publication of defamatory expression, in furtherance of a common design, may be held liable in damages to the plaintiff, whether or not at the time they realized they were committing

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the tort of defamation. The law regards them as joint tortfeasors. In ***Botiuk v. Toronto Free Press Publications Ltd.,*** *supra*, Cory J. said, at paragraphs 73-77:

> It is a well-established principle that all persons who are involved in the commission of a joint tort are jointly and severally liable for the damages caused by that tort. If one person writes a libel, another repeats it, and a third approves what is written, they all have made the defamatory libel. Both the person who originally utters the defamatory statement, and the individual who expresses agreement with it, are liable for the injury.

[136] The most recent discussion of the responsibility of members of a political, social or economic lobby group for publication of a defamatory leaflet or newsletter is found in ***McDonald's Corp. v. Steel,*** [1999] E.W.J. No. 2173 (C.A.).

[137] In ***McDonald's Corp. v. Steel,*** Pill L.J said, at paragraph 193:

> Ms. Steel did not participate in the initial production of the leaflet and it has not been proved that she took part in London Greenpeace's anti-McDonald's activities in the Autumn of 1987. But by her participation in the group's activities, sharing its anti-McDonald's aims, from early 1988, Ms. Steel jointly with others including Mr. Morris, caused, procured, authorised, concurred in and approved all publications of the leaflet complained of in England and Wales, as well as elsewhere, between that time and 20th September 1990.

And, at paragraph 195:

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> As a matter of law, any person who causes or procures or authorises or concurs in or approves the publication of a libel is as liable for its publication as the person who physically hands it or sends it off to another. It is not necessary to have written or printed the defamatory material. All those jointly concerned in the commission of a tort (civil wrong) are jointly and severally liable for it and this applies to libel as it does to any other tort.

In paragraph 203, Pill L.J. said this:

> At no point did the learned judge proceed on the footing that mere “membership” of London Greenpeace would suffice to render someone liable for the publication of the leaflet in question. On the contrary, he seems to have approached this aspect of the case with great care and accuracy. What he said was this:
>
> > Whatever a number of people’s ideas may be about lack of authority or formality, they must organize themselves to work together, to act collectively, if they are to be effective in achieving their aims. People acting collectively and effectively under a particular name are accurately described in ordinary English as the “members” of a “group”, and in my view those who attended the London Greenpeace meetings or events with the intention of actively supporting joint aims which they believed in are rightly described as “members” of the London Greenpeace “group”. Moreover, in my view, membership of the group in that sense at any particular time is some evidence of participation in the activities of other “members” of the “group” at the time. One still has to look for evidence for or against actual participation in any particular activity, such as publication of a leaflet like the one complained of, or involvement in a campaign which in turn involves publication of a leaflet; but if a group appears to be promoting a particular campaign by a particular

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> means, it may be an easy inference that those who attend its meetings or events or contribute to them from a distance are encouraging campaigning by that means, unless there is evidence to the contrary such as evidence of an entirely different motive for being there.

[138] If a campaign involves the publication of a leaflet, then those who involve themselves in that campaign may be found to be responsible for that publication, and involvement in the campaign may be itself inferred from the various activities described by the trial judge in ***McDonald's Corp. v. Steel.***

[139] Failure by group members to disassociate themselves from the activities of a group may permit the court to draw an inference as to their intention. In ***McDonald's Corp. v. Steel*** Pill L.J. said, at paragraph 223:

> Intention is normally a matter of inference, and in drawing an inference a judge is entitled and required to look at all the relevant circumstances, including the absence of action on the part of the person concerned. The absence of evidence that [a defendant] had ever tried to stop publication of a leaflet which he had been found to have produced was a relevant consideration in this context. It went along with other evidence of positive actions on his part, such as the encouragement of the anti-McDonald's campaign, of which publication of the leaflet formed part.

Pill L.J. concluded, at paragraph 242:

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> Therefore, although it is right that there was no direct evidence of Mr. Morris subsequently distributing copies of that leaflet, his responsibility for its publication during the relevant period was clear. It rested on the twin pillars of his involvement in the anti-McDonald's campaign, of which distribution of the leaflet was an integral part, and of his participation in the original production of the leaflet.

FRED GRAHAM

[140] The defendant Fred Graham was present at the meeting held to review the draft of the Hardball Newsletter. He argues that if the publication was defamatory liability ought not attach to him because he was concerned enough about the content of questions 4 and 5 to ask Mr. Crow and Mr. Pettit, the authors, if they were certain what they were saying was true. He was assured by the authors that they were certain the allegations were true. He took no further steps, having received that assurance.

[141] The plaintiff argues that Mr. Graham, being a member of RAES and present at the meeting at which the draft of the Hardball Newsletter was reviewed prior to publication, is liable for the publication on the basis of the decision in ***McDonald's Corp. v. Steele***.

[142] In ***McDonald's v. Steele*** it is clear the court was concerned, amongst other issues, with the question as to

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whether a person who is a member of an organization that publishes defamatory material will be liable for the publication where that person was not directly involved in the production and publication.

[143] I do not consider that the judgment in McDonald's stands for the proposition that any person who is an active member of an organization that publishes defamatory material is always to be held liable for the publication along with the other members. It is clear from the passages referred to above that it is necessary to consider all of the relevant circumstances when deciding whether a member of the organization will be liable with others for the publication by the organization of defamatory material.

[144] In the instant case it is relevant to this inquiry that Mr. Graham was concerned to know whether Mr. Crow and Mr. Pettit were sure of the truth of the allegations in questions 4 and 5 and that he was assured that they were. It is also relevant that Mr. Graham had no other involvement in the publication of the newsletter.

[145] I am satisfied that Mr. Graham acted reasonably in expressing his concern as to the truth of the allegations and in accepting the assurance he was given.

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[146] In the absence of evidence of any other involvement in the newsletter campaign, the onus shifts to the plaintiff to show that it was not reasonable, in all of the circumstances, for Mr. Graham to have accepted the assurances he was given from Mr. Crow and Mr. Pettit. There is no evidence from which I can conclude that it was unreasonable.

[147] The action against him is dismissed.

GLORIA GRAHAM

[148] As for Gloria Graham, the plaintiff argues that because she was part of what has been referred to as the editorial team of RAES, organized to produce the Newsletters, and because a draft of the Hardball Newsletter was faxed to her home before the newsletter was actually published therefore, on a balance of probabilities, she was involved in the publication. Therefore, it is argued, she is jointly liable for the publication.

[149] There is no question that Ms. Graham was one of the members of RAES who had volunteered to participate in the newsletter campaign. However, I am not satisfied that the plaintiff has established on a balance of probabilities that she was in any tangible way involved in the production, approval or publication of the Hardball Newsletter. The mere

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fact that the draft was faxed to her home is not sufficient, in all of the circumstances, to support an inference that she was aware of the content prior to publication.

[150] As I have already said, in my view, ***McDonald's Corp. v. Steele***, *supra*, does not go so far as to say that every member of an organization is liable along with the other members for defamatory publications of the organization. I am of the view, as I noted in relation to Fred Graham, that in order for liability to attach to a member of an organization such as RAES it is necessary that the plaintiff establish on a balance of probabilities that the person had some involvement in the publication. Once that burden is met the onus shifts to the defendant to establish that in all of the circumstances they ought not to be held liable.

[151] Having decided that the plaintiff has not established on a balance of probabilities that Ms. Graham had any involvement in the Hardball Newsletter the action against her is dismissed.

BARBARA KOHNE

[152] Barbara Kohne says she was not involved in the publication of the Hardball Newsletter at all. That is a question of fact. Based on the facts found as set out in the

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narrative, including the issue of her credibility and the fact that she was involved in the publication of the other two newsletters at the time and that she was involved in the publication of subsequent RAES newsletters, I am satisfied on a balance of probabilities that Ms. Kohne did participate in the production and publication of the Hardball Newsletter. She is therefore liable jointly with Mr. Crow, Ms Thompson, Mr. Pettit and Ms. Funston.

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DAMAGES

[153] The plaintiff in a defamation action may be awarded compensatory, and punitive or exemplary damages.

[154] Within the category of compensatory damages, a plaintiff may seek both general and aggravated damages. The plaintiff may also claim pecuniary loss, though none is claimed here.

GENERAL AND AGGRAVATED DAMAGES

[155] In an action for libel, the plaintiff does not need to prove damage in order to recover a verdict for damages. Damage is presumed: ***Ratcliffe v. Evans***, [1892] 2 Q.B. 524 at 528 (C.A.) at 529.

[156] The expression “at large” in the context of defamation was explained by Lord Hailsham in ***Cassell & Co. v. Broome***, [1972] 1 All E.R. 801 at 824 (H.L.):

> In actions of defamation and in any other actions where damages for loss of reputation are involved, the principle of *restitutio in integrum* has necessarily an even more highly subjective element. Such actions involve a money award which may put the plaintiff in a purely financial sense in a much stronger position than he was before the wrong. Not merely can he recover the estimated sum of his past and future losses, but, in case the libel, driven underground, emerges from its lurking place at some future date, he must be able to point to a sum awarded by a jury sufficient to convince a bystander of the baselessness of the charge. As Windeyer J well said in *Uren v. John Fairfax & Sons Pty Ltd*.:
>
> > It seems to me that, properly speaking, a man defamed does not get compensation for his damaged reputation. He gets damages because he was injured in his reputation, that is simply because he was publicly defamed. For this reason, compensation by damages operates in two ways – as a vindication of the plaintiff to the public, and as consolation to him for a wrong done. Compensation is here a solatium rather than a monetary recompense for harm measurable in money.
> >
> > This is why it is not necessarily fair to compare awards of damages in this field with damages for personal injuries. Quite obviously, the award must include factors for injury to the feelings, the anxiety and uncertainty undergone in the litigation, the absence of apology, or the reaffirmation of the truth of the matters complained of, or the malice of the defendant. The bad conduct of the plaintiff himself may also enter into the matter, where he was provoked to the libel, or where perhaps he has libelled the defendant in reply. What is awarded is thus a figure which cannot be arrived at by any purely objective

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> computation. This is what is meant when the damages in defamation are described as being 'at large'. In a sense, too, these damages are of their nature punitive or exemplary in the loose sense in which the terms were used before 1964, because they inflict an added burden on the defendant proportionate to his conduct, just as they can be reduced if the defendant has behaved well - as for instance by a handsome apology or the plaintiff badly, as for instance by provoking the defendant, or defaming him in return. In all such cases it must be appropriate to say with Lord Esher MR in *Praed v. Graham*:
>
> > ... in actions of libel ... the jury in assessing damages are entitled to look at the whole conduct of the defendant [I would personally add “and of the plaintiff”] from the time the libel was published down to the time they give their verdict. They may consider what his conduct has been before action, after action, and in court during the trial.

Lord Hailsham continued, at page 826:

> The expression “at large” should be used in general to cover all cases where awards of damages may include elements for loss of reputation, injured feelings, bad or good conduct by either party, or punishment, and where in consequence no precise limit can be set in extent. It would be convenient if, as the appellant’s counsel did at the hearing, it could be extended to include damages for pain and suffering or loss of amenity. Lord Devlin uses the term in this sense in *Rookes v. Barnard*, when he defines the phrase as meaning all cases where “the award is not limited to the pecuniary loss that can be specifically proved”. But I suspect he was there guilty of a neologism. If I am wrong, it is a convenient use and should be repeated.

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[157] Each libel case is unique. Accordingly, there is no formula for determining general compensatory damages. However, the court will usually consider the confluence of the following elements: the nature and circumstances of the publication of the libel; the nature and position of the victim of the libel; the possible effects of the libel upon the life of the plaintiff; and the actions and motivations of the defendants. ***Hill v. Church of Scientology of Toronto***, *supra*, at page 1205.

[158] Some of the factors to be taken into account were enumerated by Cunningham J. in ***Leenen v. Canadian Broadcasting Corp.,*** (2000) 48 O.R. (3d) 656 at paragraph 109, appeal dismissed; (2001) 54 O.R. (3d) 612 (C.A.); leave to appeal to Supreme Court of Canada refused [2001] S.C.C.A. 432, including:

1. the seriousness of the defamatory statement;
2. the identity of the accuser;
3. the breadth of the distribution of the publication of the libel;
4. republication of the libel;
5. the failure to give the audience both sides of the picture and not presenting a balanced review;
6. the desire to increase one’s professional reputation or to increase ratings of a particular program;

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7. the conduct of the defendant and defendant's counsel through to the end of trial;

8. the absence or refusal of any retraction or apology;

9. the failure to establish a plea of justification.

[159] Liability for general damages arising from a publication is joint and several. All persons involved in the commission of the joint tort are jointly and severally liable for the damages caused by that tort: ***Hill v. Church of Scientology of Toronto***, *supra*, at paragraphs 174 and 175.

[160] Aggravated damages may be awarded in circumstances where conduct of the defendant or his or her counsel has been particularly high handed or oppressive, thereby increasing the plaintiff's humiliation and anxiety arising from the defamatory statement. Like general or special damages, aggravated damages are compensatory in nature. Their assessment requires consideration by the court of the entire conduct of the defendant prior to the publication of the libel and continuing through to the conclusion of the trial. They represent the expression of natural indignation of right-thinking people arising from the malicious conduct of the defendant: ***Hill v. Church of Scientology of Toronto***, *supra*, at paragraphs 188 and 189.

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[161] In order for aggravated damages to be awarded, there must be a finding that the defendant was motivated by actual malice, which increased the injury to the plaintiff, either by further spreading the damage to the reputation of the plaintiff, or by increasing the mental distress and humiliation of the plaintiff. The malice may be established by extrinsic evidence derived from the libellous statement itself and the circumstances of its publication, or by extrinsic evidence pertaining to the surrounding circumstances which demonstrate that the defendant was motivated by an unjustifiable intention to injure the plaintiff: ***Hill v. Church of Scientology of Toronto***, *supra*, at paragraph 190.

> Appellate courts have suggested that a trial judge is not obligated to break an assessment of compensatory damages into "general damages" and "aggravated damages" where there is only one defendant. Where there are two defendants, however, the position of each defendant with respect to liability for aggravated damages may be different. Liability for aggravated damages is not joint and several. Therefore in cases of two or more defendants, it is appropriate to break the compensatory damage award into the two components. ***Brown v. Cole,*** (1998) 61 B.C.L.R. 1 at paragraph 80 (B.C.C.A.), leave to appeal refused [1998] S.C.C.A. 614.

[162] Although there was clearly a great deal of animosity between the defendants and the plaintiff prior to the publication of the Hardball Newsletter there is no clear

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evidence to support a finding of malice in relation to the two publications complained of that pre-date the Hardball Newsletter. Although those two letters contain gross exaggerations and misstatements, I am not persuaded that these excesses were founded on a primary desire to injure the plaintiff but rather on a primary desire to provoke others to oppose the plaintiff's development plans.

[163] The Hardball Newsletter is another matter. I have no doubt that the primary purpose of the publication was to injure the plaintiff's reputation in a last desperate effort to mount opposition to the plaintiff's upcoming application for rezoning of the Silver Spray Lands.

[164] Mr. Crow and Mr. Pettit, the primary authors of the Newsletter, could easily have determined whether what they had concluded from their cursory reading of newspaper articles and their own suspicions was or was not true before the newsletter was published, but they chose not to. The others, with the exception of Fred Graham, simply accepted what Crow and Pettit had written at face value when it was clear and obvious that the inference to be drawn would injure Mr. Thornton's reputation. In other words, they were indifferent as to whether what was to be published was true or not. This finding supports an award of aggravated damages against

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Mr. Crow, Ms. Thompson, Mr. Pettit, Ms. Funston and Barbara Kohne.

[165] In addition, there is to be considered the continuing behaviour of the defendants after this action was commenced which the plaintiff says was motivated by actual malice, and which increased the injury to the plaintiff by exacerbating the damage to his reputation and by causing him further mental distress and humiliation.

[166] In this regard I have made findings of fact set out earlier in these reasons. These findings of fact include:

1. The publication of the David and Goliath Newsletter in September 1988 which claimed the defendants were all innocent victims of the plaintiff when they had been advised that what they had said in the Hardball Newsletter was not true;

2. That Mr. Pettit and Mr. Crow each continued a campaign against Mr. Thornton personally which included, in the case of Mr. Pettit, two egregious publications, one the information bulletin and the other the letter to the CRD and, in the case of Mr. Crow, the article in which he asserted that

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Mr. Thornton had continued a campaign of vilification;

3. That all of the defendants participated in the nationally broadcast CBC programme Disclosure as well as the purported “apology”; and

4. That none of them ever apologized or retracted the allegations complained of although at some point, long before this trial commenced, they had to have known that what they had said was untrue.

[167] The plaintiff argued that the publication of the Newsletter in September 1998, in which it was stated that fifteen innocent lives had been disrupted by Mr. Thornton’s wish to silence those who disagree with him, is evidence of malice and an aggravation of the damage already caused by the four publications that are the subject of this action. The plaintiff also complained that newspaper articles in late 1998 and in 1999, in which the defendants continued to characterize the lawsuit as a SLAPP suit intended to deprive them of their right to public participation, aggravated the damage he had already suffered.

[168] The defendants argue that there was nothing objectionable in continuing to maintain that the plaintiff's

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motive was to silence them prior to that issue being decided by the court. That determination was made long after the last of the SLAPP suit allegations which the plaintiff relies on.

[169] Perhaps, had the defendants not chosen to ignore the advice from the CRD and Mr. Clark that what they had published was not true and taken steps to determine whether what they said was true or not and then, knowing that what they published was untrue, chosen to maintain that the plaintiff's motive in bringing the action was to silence them, then perhaps there could be some merit to this argument. In the circumstances there is not.

[170] Further, I find that each of the defendants Crow, Thompson, Pettit, Funston and Barbara Kohne were responsible for further spreading the damage to Mr. Thornton’s reputation and increasing his mental distress and humiliation through their participation in the television programme “Disclosure” and, with the exception of Ms. Kohne, in the publication of the purported apology, which was completely insincere and self-serving. Both of these events occurred just prior to trial.

[171] In addition, Mr. Crow’s attack on Mr. Thornton in his conversation with Mr. Smith, in which he made numerous allegations against Mr. Thornton, was clearly malicious and

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intended to adversely affect Mr. Thornton's reputation with Mr. Smith.

[172] In November 2000, Mr. Pettit made a presentation, both written and oral, to the Juan de Fuca Land Use Committee in which he accused Mr. Thornton of using the legal system as a tool of intimidation, evidenced by Thornton's failure to prosecute the action in a timely fashion when he, Pettit, knew that to be untrue. In that same presentation he also accused Mr. Thornton of being known to have authored the "bomb" flyer when he did not know that to be true nor could he establish the truth of it at trial.

[173] Taking all these matters into consideration, it is apparent that Mr. Crow and Mr. Pettit must bear the bulk of responsibility for aggravating the damage already suffered by Mr. Thornton as a result of the publications complained of. While Ms. Thompson, Ms. Funston and Ms. Kohne played minor role for which their responsibility will be considerably less than for Crow and Pettit.

[174] I have considered all of the authorities to which reference was made relating to the question of the appropriate quantum of general damages, including aggravated damages, and I have concluded as follows:

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1. General Damages against Mr. Crow for the letter of May 8, 1997 - $1,500;

2. General Damages against Ms. Thompson for the letter of August 13, 1997 - $1,000;

3. General Damages against Mr. Crow, Mr. Pettit, Ms. Thompson, Ms. Funston and Barbara Kohne - $25,000;

4. Aggravated Damages against Mr. Crow and Mr. Pettit - $5,000 each; and

5. Aggravated Damages against Ms. Thompson, Ms. Funston and Ms. Kohne - $750 each.

PUNITIVE DAMAGES

[175] At common law, punitive damages are awarded only in a situation where the defendant's conduct is so malicious, oppressive and high handed that it offends the court's sense of decency: ***Hill v. Church of Scientology of Toronto***, *supra*, at 1208.

[176] Punitive damages bear no relation to what the plaintiff should receive by way of compensation. Their aim is not to compensate the plaintiff, but rather to punish the defendant. It is the means by which the court expresses

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outrage at the egregious conduct of the defendant. They are in the nature of a fine which is meant to act as a deterrent to the defendant and to others: ***Hill v. Church of Scientology of Toronto***, *supra*, at 1208.

[177] Punitive damages are only to be awarded where the combined award of general and aggravated damages would be insufficient to achieve the goal of punishment and deterrence: ***Hill v. Church of Scientology of Toronto***, *supra*.

[178] The test defined in ***Hill v. Church of Scientology of Toronto*** limits the award to misconduct that represents a marked departure from ordinary standards of reasonable behaviour: ***Whiten v. Pilot Insurance Co***. (2002), 209 D.L.R. (4th) 257, (S.C.C.) per Binnie, J. at paragraph 36.

[179] In ***Whiten*** it was also held, at paragraphs 111 to 126, that a proper award of punitive damages must be rationally proportionate in several dimensions:

1. The blameworthiness of the defendant's conduct; including
   - (i) whether the misconduct was planned and deliberate
   - (ii) the intent and motive of the defendant
2. The degree of vulnerability of the plaintiff.
3. The harm or potential harm specifically directed at the plaintiff.

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4. The need for deterrence.

5. Taking into account the other penalties, both civil and criminal, which have been or which are likely to be inflicted on the defendant for the same misconduct.

6. The advantage wrongfully gained by the defendant from the misconduct.

[180] I have concluded that the defendant Crow acted with express malice in his conversation with Mr. Smith and in the "vilification" article, and that the defendant Pettit acted with express malice in his presentation to the Juan de Fuca Land Use Committee.

[181] I have concluded, having regard to the content of these publications and their audience and considering the testimony of, in particular, Mr. Crow and Mr. Pettit, that the dominant purpose of these publications was to further injure the plaintiff’s reputation in order to make it increasingly difficult for the plaintiff to continue with the development of the Silver Spray Lands. I am also satisfied that this behaviour on the part of both of these defendants was egregious and represents behaviour that is a marked departure from ordinary standards of reasonable behaviour, calling for the imposition of punitive damages as punishment for this behaviour and as a deterrent to others.

[182] I award punitive damages as follows:

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1. Against Mr. Crow in the amount of $5,000; and

2. Against Mr. Pettit in the amount of $7,500.

CORPORATE DAMAGES

[183] The law of defamation protects not only the reputation of an individual but also the reputation of a corporation: ***Hiltz and Seamone Co. v. Nova Scotia (Attorney General)*** (1997), 164 N.S.R. (2d) 161, affirmed [1999] 172 D.L.R. (4th) 488 (N.S.C.A.); and ***Ascot Holdings Ltd. v. Wilkie*** (1993), 49 C.P.R. (3d) 188 (B.C.S.C.).

[184] In ***McDonald's Corp. v. Steel***, *supra*, Lord Justice Pill said, at para. 74:

> A company whose business character or reputation (as distinct from the character or reputation of the persons who compose it) is injuriously affected by a defamatory publication is entitled, without proof of damage, to a compensatory award representing the sum necessary to publicly vindicate the company's business reputation.

[185] If a corporate plaintiff shows that it has a reputation within the jurisdiction and that the defamatory publication is likely to damage its goodwill, the court is entitled to make an award of substantial damages: ***McDonald's Corp. v.*** **Steel**, *supra*, at paragraphs 75-77.

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[186] Although Mr. Thornton testified that as a result of this litigation his ability to raise capital for the defendant Silver Spray Investments Inc. was compromised, no claim was made for pecuniary loss.

[187] As for the claim for general damages on behalf of Home Equity Development Inc. and Silver Spray Investments Inc., the burden is on the corporate plaintiffs to establish as a question of fact whether the words complained of would be understood by the ordinary reader to refer them. A judge must give the words their "fair and natural meaning" in order to determine whether a reasonable person of ordinary intelligence could understand the statements to refer to the plaintiff(s).

[188] Where the identification is dependant upon special knowledge or circumstances, it must be shown that the words were published to persons who had the knowledge. In this regard see ***Consolidated Trust v. Browne*** (1948), 49 S.R. (N.S.W.). Where such knowledge is required witnesses ought to be called to give evidence that, upon reading the defamatory statements, they understood that the statements referred to the plaintiff. See ***Atkinson v. C.B.C.*** (1981), 49 N.S.R. (2d) 381.

[189] In none of the publications complained of is there mention of either corporate entity and, although numerous

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Newsletters were sent out under the logo of Silver Spray and signed by Mr. Thornton, no evidence was called to establish that the ordinary reader would have understood the letters to have been referring to either company. I am not persuaded on a balance of probabilities that the corporate plaintiffs have met the burden on them.

[190] In addition, Silver Spray Investments Inc. was incorporated for the purpose of raising capital for the development of the Silver Spray Lands and there is no evidence as to what, if any, reputation Silver Spray Investments had at the time of publication, nor was the company named in any of the publications.

[191] In the result, I have concluded that neither of the corporate plaintiffs was defamed in the publications complained of.

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COSTS

[192] The issues involved in the determination of the allocation and scale of costs are complicated, in part by the result and in part by the fact that not all the defendants stand in the same position. There may be other complications which come to light when this matter is spoken to, as it will have to be. The question of costs is adjourned generally.

"G.M. Quijano, J."
The Honourable Madam Justice G.M. Quijano

February 12, 2004 – ***Corrigendum to the Reasons for Judgment*** issued by Madam Justice G.M. Quijano advising that on the first page of the Reasons, counsel for the plaintiffs should read: R.D. McConchie and A.K. Foord. Also, counsel for the defendants should read: D.A. Farquhar, Q.C., and M.R. Scherr.

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